

Calderwood Partners LLC

www.calderwoodpartners.com

April 30, 2011

Julie Gonzalez
Director of Operations
Stark-Wilson

Re: Organization Design for Stark-Wilson

Dear Ms. Gonzalez:

This letter sets down the terms on which Calderwood Partners will carry out the organization design work we discussed with you and your team over the past several weeks. When you have signed and returned it, it becomes the agreement between your company and this firm, and it takes the place of the proposal and the conversations that came before it. I have kept it short and put the terms that matter most to you near the front, so you can read them first and the boilerplate after.

The Work

The engagement is about how your company is organized to operate: the shape of the reporting structure, where decisions are made and who owns them, the accountabilities carried at each level, and whether the design you run today fits the direction the business is taking. We will deliver three things. The first is a diagnostic of the organization as it runs now, built from your own charts, your management reporting, and interviews with the people who run the operation day to day. The second is a target design, meaning a structure, a set of decision rights, and the governance to hold them, drawn for where the company is going rather than for where it has been. The third is a plan to move from the first to the second, sequenced so the changes that return the most come first and the disruption is spread on purpose rather than by accident.

A few matters sit deliberately outside this work, and we can price them separately if you want them. We will recommend changes to roles and reporting lines; we will not make the personnel decisions that follow, which stay yours to take. We are not engaged to select or install systems, to advise on tax or legal structure, or to negotiate with anyone on your behalf. Where our analysis runs into a question we have not been asked to answer, we will say so and stop there, instead of answering it by guessing and calling the guess a finding.

Who Does the Work

Julie Parks, our Senior Engagement Manager, runs the engagement day to day and is your first point of contact for anything on it. Deborah Gordon carries much of the analysis and the fieldwork, and she will be in the interviews and behind the drafts. I read the diagnostic and the recommendation before either is put in

front of you, as I do with every piece of work that leaves this firm. If the people on your engagement have to change, you will hear it from us before it happens, not after the fact.

Fee, Payment, and Start

Our fee for the engagement is a fixed fee of \$90,500, which covers the work described above and the team named to do it. We bill monthly, in arrears, for the portion of the work completed in the preceding month, and each invoice is due within thirty days of its date. Reasonable out-of-pocket costs, where there are any, are billed at cost and itemized on the invoice. Work that falls outside the scope set out above is never begun on assumption; if you ask for something this letter does not cover, we will price it and wait for your written go-ahead before we start. The engagement commences on May 10, 2011, subject to your signature on this letter and to our receiving the current organization charts, your most recent management reporting, and access to the leaders we will need to interview.

Term and Notice

This agreement takes effect when you sign below and runs until we have delivered the implementation plan and rendered our final invoice. Either of us may end it earlier on thirty days' written notice to the other. If it ends before the work is finished, you will owe us for the work performed and the costs incurred to the effective date, and we will hand over what we have in the state it then stands, with a written note of what is left undone. Work delivered part finished is exactly that, and it should not be read as a completed recommendation.

Confidential Information

We will treat the information you give us as confidential and use it only for this engagement. Inside the firm, access is held to the team named above and to the few others whose work requires it. We will not pass your information to anyone outside the firm without your written consent, unless a court or a regulator with authority over it compels us, and in that event we will tell you first if we are free to. Our work product is prepared for your management's use on this matter; it is not to be relied on by anyone else, or on any other matter, without our written agreement. These obligations outlast the engagement itself.

Limits on Our Liability

Our total liability to you arising out of this engagement, whether the claim is framed in contract, in tort, or otherwise, will not exceed the fees you have actually paid us under it, save in the case of our own fraud or willful misconduct. Neither party will be liable to the other for indirect or consequential loss, lost profits among it, whether or not either of us foresaw the possibility. Our conclusions rest on the accuracy and completeness of what you furnish; where that information proves materially wrong, the consequences of the error are not ours to carry, though we will tell you promptly whenever we have reason to doubt what we have been handed.

Governing Law

This agreement is governed by the law of the state in which our principal office sits, without regard to its conflict-of-laws rules. Should a dispute arise, we will each put it first to a senior representative of the two sides and try to settle it in conversation before either of us begins formal proceedings. This letter, once signed, is the whole of the agreement between us on its subject, and it may be amended only in a writing that both of us sign.

If these terms match your understanding, please sign both copies of this letter where indicated, keep one for your records, and return the other to me. If any of them does not, telephone me and we will settle it before you sign rather than after. We are glad to be taking on this work for Stark-Wilson, and we will be ready to begin the interviews as soon as the signed letter is back with us.

Sincerely,

Julie Ramsey

Managing Principal

Date: April 30, 2011

Julie Gonzalez

Director of Operations, Stark-Wilson

Date: April 30, 2011